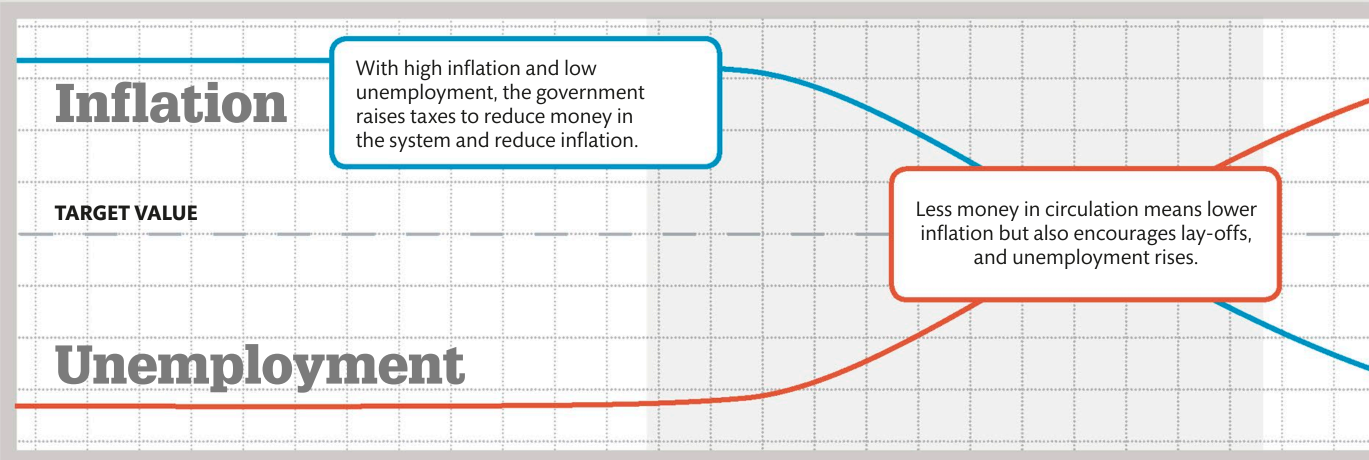
Deciding on economic policy

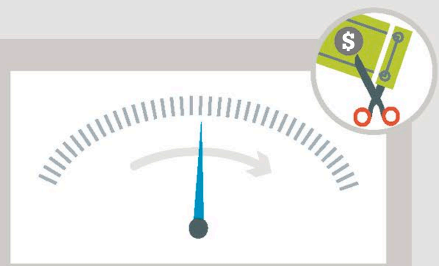
Governments closely monitor data on the economy to establish which policies might improve its performance. There are numerous ways of intervening, each with their own pros and cons.



Calibrating the economic machine

Governments have a number of different controls they can adjust to help the smooth running of the economy. The biggest are taxes, spending decisions, and interest rates. Each of these controls affects the economy in many different ways, and governments have to consider these when taking action.

> "Inflation is the one form of taxation that can be imposed without legislation"
>
> Milton Friedman



Increasing tax

The government can try to slow down the economy by raising taxes, a measure taken when inflation is a risk. An increase in taxes reduces spending. When spending falls, suppliers are less likely to put up their prices, since they risk losing a market, and inflation therefore slows. Cutting taxes has the opposite effect.